SCOOP
INVESTMENT

Patel Retail Limited

Initiating Coverage

25-12-2025

INTRODUCTION

Patel Retail Limited (PRL) represents a unique structural play in the Indian consumer landscape, distinguishing itself from pure-play retailers through a vertically integrated direct "Farm-to-Customer" ecosystem. The company is currently at a strategic inflection point, transitioning from a capital-intensive expansion phase into a period of expansion. The core pillars that mirror the structural strengths adapted for the high-velocity FMCG sector: Backward Integration Arbitrage (The Agri-Processing Cluster) and Cluster-Based Retail Densification.

- **Backward Integration Arbitrage:** PRL manufactures and processes a significant portion of its staples—specifically pulses, spices, and flours—at its own facilities in Ambernath and Kutch. This allows the company to capture the manufacturing margin typically ceded to FMCG brands, thereby structurally elevating its gross margins. The evidence of this is visible in the EBITDA margin expansion from 4.25% in FY23 to 8.67% in H1 FY26.

- **The Cluster-Based Expansion Model:** The distribution center in Ambernath is the heart of the retail network. Stores are typically opened within a 60 to 100 km radius of this facility. This proximity allows for daily replenishment runs. A single truck can service multiple outlets in this belt in one trip. This high fleet utilization rate reduces logistics cost per unit, a critical metric in value retail where gross margins are thin.

Parameter	Details
BSE Code	544487
NSE Symbol	PATELRMART
Market Cap	₹698.08 Cr
Enterprise Value	₹757 Cr*
Post Issue Shares	3.34 Cr
Face Value	₹10
52-Week High/Low	₹305.0 / ₹201.1
Debt/Equity (FY25)	1.3x

*Estimated

SHAREHOLDING PATTERN

Category	Sep 2025
Promoter	70.00%
FII	3.84%
DII	1.77%
Public	24.4%

COMPANY OVERVIEW

Incorporated as a Private Limited company in 2007, the company began its retail journey in 1990 with a single grocery store. It opened its first supermarket in Ambernath, Maharashtra, in 2003. The company focuses on "Value Retail," targeting lower-middle, middle, and aspiring upper-middle-class consumers in Tier-III cities and suburban areas. As of October 2025, the company operates 47 stores covering over 2.02 lakh sq. ft. of retail space

Manufacturing Facilities

Facility	Location	Unit / Product Category	Installed Capacity (MTPA)
Facility 1	Ambernath (East), Thane, Maharashtra	Retail Processing Unit	14,400
Facility 2	Dudhai, Anjar, Kutch, Gujarat	Peanuts & Whole Spices	43,200
Facility 3 (Agri Cluster)	Dudhai, Anjar, Kutch, Gujarat	Unit 1 – Whole Spices & Oilseeds	7,200
		Unit 2 – Ground & Blended Spices	4,800
		Unit 3 – Wheat Flour	40,800
		Unit 4 – Peanuts	24,000
		Unit 5 – Sesame Seeds	10,800
		F&V Unit – Fruit Pulp	2,400

The combined installed capacity across all facilities is approximately 1,43,000+ MTPA

Revenue Breakup (as % of Total Revenue from Operations)

Particulars	FY 2023	FY 2024	FY 2025
A. By Business Vertical			
Retail	26.17%	35.58%	44.95%
Non-Retail	72.81%	63.10%	54.14%
Other Operating Income	1.02%	1.32%	0.91%
B. Retail Revenue Breakup			
Food	19.27%	26.27%	32.83%
Non-Food (FMCG)	4.95%	6.82%	8.80%
General Merchandise & Apparel	1.74%	2.50%	3.32%
R Choice (Discontinued)	0.21%	-%	-%
C. Sale Revenue Breakup			
Processing (Manufacturing)	30.48%	45.76%	44.01%
Trading	42.34%	17.34%	10.13%
D. Geographic Breakup			
Domestic	34.59%	50.47%	66.82%
Export	65.41%	49.53%	33.18%

During the Q2 FY26 Earnings Call, Management stated that the company plans to grow both segments at the same pace. Ideally, the revenue mix will range between 45:55 or 50:50 at any given point

Management explained that the decline was largely driven by restrictions imposed by the Government of India on sugar exports. Management clarified that they have shifted focus from trading-based businesses (like sugar export) to manufacturing to stabilize operations

Management stated they are "diluting" their focus from being a heavy export business to being equally focused on domestic and export markets

Particulars	FY23	FY24	FY25
Private Label Revenue (₹ in cr)	49.24	56.71	62.87
As % of Retail Sales	18.47%	19.57%	17.05%
As % of Total Revenue	4.83%	6.97%	7.66%

Key Focus area with contribution targets of 22% in medium term

HISTORICAL BACKGROUND

- **The Retail Foundation (1990–2010):** The initial two decades were focused on understanding the consumer psyche in suburban Maharashtra. The opening of the first supermarket in Ambernath in 2003 was a watershed moment, moving the company from counter-service to self-service formats.
- **Backend Fortification (2013–2022):** Recognizing that retail margins are capped by procurement costs, PRL aggressively invested in manufacturing. The establishment of Facility 1 in Ambernath (2013) for repacking and processing created the first link between sourcing and sales. This was followed by the commissioning of the peanut and spice processing Facility 2 in Dudhai, Kutch (2015), and the subsequent expansion into a full-fledged Agri-Cluster.
- **The Export & Brand Leap (2018–2024):** The launch of private label "Indian Chaska" (2018) and the scaling of exports to over 25 countries signaled PRL's ambition to be an FMCG player. The recognition as a "Three Star Export House" in 2019 and "Four Star Export House" in 2023 validated its global trade capabilities.
- **Public Listing and Scaling (2025):** The conversion to a public limited company in 2023 and the subsequent IPO in August 2025 provided the capital necessary to deleverage the balance sheet and fund the expansion into Pune and Western Suburbs

MANAGEMENT

Mr. Dhanji Raghavji Patel (Chairman and Managing Director): He has over 25 years of experience in the retail and processing business. Although he does not hold formal educational qualifications, he is credited with guiding the company's expansion into the non-retail business vertical, specifically manufacturing and exports.

Mr. Bechar Raghavji Patel (Promoter & Whole Time Director): He has been instrumental in establishing the company's chain of retail supermarkets

Mr. Rahul Dhanji Patel (Chief Executive Officer): He represents the next generation of leadership. He holds a Master of Science (Marketing) degree from Queen Mary University, London. Associated with the company since 2020, he was inducted to stabilize and expand the manufacturing and food processing operations

FINANCIAL OVERVIEW

Patel Retail	FY23	FY24	FY25
Operating Revenue	1,019	814	821
Growth Y-o-Y %	-	-20.1%	0.8%
EBITDA	43.2	55.8	62.4
PAT	16.4	22.5	25.3
Gross Margin %	15.5%	19.1%	19.4%
EBITDA %	4.2%	6.4%	7.6%
PAT %	1.6%	2.8%	3.1%
Total Debt	183.8	187.7	182.5
Equity	71.9	94.4	134.6
Debt / Equity	2.5x	1.9x	1.3x
Inventory (Days)	27	57	64
TR (Days)	37	43	55
TP (Days)	15	21	27
NWC (Days)	61	85	97
ROE	23.66%	24.24%	19.02%
ROCE	12.66%	15.10%	14.43%
CFO / EBITDA	-13.2%	47.4%	48.5%

KEY RISKS

- **Geographic Concentration in Mumbai Metropolitan Region (MMR):** Patel Retail operates 100% of its stores in a single geographic region—the Mumbai Metropolitan Region, specifically the Thane, Raigad, and Palghar districts. As of November 2025, all 47 stores are concentrated within a 100-kilometer radius of the Ambernath distribution center.

- **Store Expansion Execution Risk:** Management has committed to an aggressive store expansion plan—opening 10-15 stores per year to reach 60-75 stores by FY27 from the current base of 47 stores. This represents an approx. 60% increase in store count over 2-3 years, significantly faster than the historical run rate of 6-10 stores per year.

- **Quick Commerce Disruption to Offline Footfalls:** The rapid proliferation of quick commerce platforms (Zepto, Blinkit, Swiggy Instamart, BigBasket Now) offering 10-15 minute delivery is fundamentally changing consumer behavior in urban India

- **Intensifying Competition from Large National Chains:** Patel Retail operates in highly competitive markets where large, well-capitalized national retail chains have aggressive expansion plans.

THE STORE UNIT ECONOMICS

Historical Average Revenue Per Store

INR cr per store	FY23	FY24	FY25
Revenue	8.33	8.78	8.78

New Store EBITDA Margin is approx 5% after accounting for rent expenditure. An average store employs around 20 people, consisting of approximately 4 payroll employees and 16 contract laborers. The average daily footfall per store is approximately 585.
Average lease rental was ₹50.97 per month per sq. ft. in FY25. The average lease period is around 5 years.

INR Rs. per month per sq ft.	FY23	FY24	FY25
Avg Lease Rental	53.66	54.87	50.97

Cost of Setting Up a New Store

Average Store Size	Capex	Inventory	Total Cost
6000 sq ft	Rs. 1500 / sq ft	Rs. 2000 / sq ft	2.1 cr

Management guides for approximately ₹80 Lakhs per month in income for a new store in its first year, totaling ₹9.6 Crores annually. The average payback period for a store is approximately 2 years.

Total Capex (Possible)

Current Stores	Target Stores (FY27)	Total Cost
47	75*	58.8 cr

Projected Revenue from Store additions

Metric	Current	Target (Estimated)	Addition (Estimated)	% Growth
Number of Stores	47	75	28	59.6%
Total Retail Space (sq. ft.)	2,02,697	3,70,697	1,68,000	82.9%
Average Store Size (sq. ft.)	4,313	4,943	6,000	–
Retail Revenue (₹ Cr)	₹400 Cr**	₹668.8 Cr	₹268.8 Cr	67.2%
Revenue per Store (₹ Cr)	8.51	8.92	9.60	–
Revenue per sq. ft. (₹)	19700	18000	16000	–
Retail EBITDA (₹ Cr) ***	₹20 Cr	₹33.4 Cr	₹13.44 Cr	67.0%
EBITDA per Store (₹ Cr)	0.43	0.45	0.48	–
EBITDA Margin (%)	5.0%	5.0%	5.0%	–
Annual Bill Cuts (lakhs)	52.15	88.55	36.4	69.8%
Avg. Bill Cuts per Store (lakhs)	1.2	1.3	1.3	–

*As guided by the Company in its Q2FY26 Presentation

**Based on H1 FY26 run rate

***EBITDA after accounting for Rent

MANAGEMENT GUIDANCE

Private Label Strategy

Private label penetration is management's single most important lever for margin expansion over the next 2-3 years, and the company has articulated an aggressive growth plan for this segment. Currently, private label products contribute approximately 17% of retail sales of FY25. Company's stated target for private label contribution is “over 22% in medium term” as mentioned in the investor presentation. Currently the following are private labels:

- **Patel Fresh:** Launched in 2010, this brand covers pulses, staples, groceries, and ready-to-cook/instant mixes (such as basundi mix and falooda mix), as well as wheat flour,,,.
- **Patel Essentials:** Launched in 2010, this brand focuses on home improvement and care products, including detergents, phenyl, dish wash liquid, mops, and plastic buckets,,.
- **Blue Nation:** Launched in 2014, this brand offers apparel, specifically men's wear,,.
- **Indian Chaska:** Launched in 2018, this is positioned as a premium brand offering spices (whole, ground, and blended), ghee, papad, wheat flour, and mango pulp

Management plans to target the large and growing packaged snacks category. Products will include traditional namkeen (sev, gathiya, chivda), roasted peanuts etc. Additionally, the focus will be on modern convenience foods as well such as pasta, macaroni, pizza dough, and peanut butter.

Digital Presence and Near-Term Roadmap

The company launched its mobile application, "Patel’s R Mart," in Fiscal 2021. It is available on both Android and iOS platforms. As of May 31, 2025, the application had over 86,000 downloads with over 17,000 active users. The app is designed to provide customers with an "online-to-offline" (O2O) shopping experience, bridging offline retail strength with digital convenience. It connects online customers to the nearest store for order placement and offers free home delivery.

Particular	FY23	FY24	FY25
Number of Orders	5253	6056	7853
Revenue Generated (in cr)	1.04	0.95	1.24

During the Q2 & H1 FY26 Earnings Call, management stated that sales from the mobile online business contribute around 3.5% of the company's retail sales. Currently, the app facilitates next-day delivery. However, the company is upgrading the app's user interface and plans to introduce same-day delivery and eventually reduce delivery times further to enter the "quick commerce" segment using its existing app infrastructure

Profitability and Margin Expansion

For FY26, the company expects to achieve EBITDA margins in the range of 7.5% to 8.0%, a modest improvement from FY25's 7.6% but representing disciplined operational execution during a high-growth phase.

Parameter	FY25 Actual		FY26E		FY27E	
	Retail	Non - Retail	Retail	Non - Retail	Retail	Non - Retail
Total Revenue (₹ Cr)	821		1073		1345	
Revenue Breakup	373	448	476	597	597	748
YoY Revenue Growth	0.80%		31%		25%	
EBITDA Margin	5.56%	9.23%	5.72%	9.42%	5.76%	10.29%
PAT Margin	1.59%	4.29%	2.67%	5.25%	2.78%	6.17%
EBITDA (₹ Cr)	62		83		111.4	
Blended EBITDA Margin	7.6%		8%		8.3%	
PAT (₹ Cr)	25		44.0		62.8	
Blended PAT Margin	3.1%		4%		4.7%	
EPS (₹)	10.3		13.2		18.8	
EPS Growth Rate	-		28.01%		42.5%	

VALUATIONS

Particulars	Base Case
FY27E EPS (₹)	18.8
Earnings Growth Assumed (%)	40%
PEG Multiple Applied (x)	0.40x
Implied Fair P/E (x) Range	14.5x - 16.0x
Implied Fair Value Range (₹/share)	**273 - 301**
Current Market Price (₹) / (upside)	**210 / (30%)**

Based on projected FY27E EPS of ₹18.8 and sustained earnings growth of 40%, the company merits a conservative PEG-based valuation of 0.40x, translating into a fair multiple range of 14.5x to 16x FY27E earnings.

Applying this framework results in an implied valuation **target price range of ₹273 to ₹300 per share, indicating meaningful upside potential of 30% to 43% from current levels** as earnings visibility improves and margin expansion sustains.

Notes:

- Earnings growth of ~40% used for valuation purposes is derived from the projected FY26–FY27 EPS trajectory (₹13.2 to ₹18.8), with a conservative adjustment to account for execution variability.
- The valuation is based on a conservative PEG framework applied to FY27E earnings, reflecting growth visibility, margin expansion, and execution risk. Upside emerges from earnings delivery and potential re-rating as the business scales.

SCOOP INVESTMENT

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Details of terms used

Investment Rating	Definition
Buy	Expected absolute returns of more than 20% over specified time period
Hold	Expected absolute returns between 20% and -15% over specified time period
Sell	Expected absolute returns of less than -15% over a specified time period
Entry Price	Price at which stock was recommended
Target Price	Expected price of stock at end of specified time period
Potential Upside	Expected absolute returns from entry price over a specified time period
Upside Left	Expected absolute returns from current price to Target price

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